had earned interest of ₹506 crore in its liquidity management operations.)

It is also true that, as a consequence of the huge inflows into the banking system, interest rates did drop, but the question is, did this lead to more lending by banks (and therefore more productive investment and a virtuous cycle of economic growth) which is presumably what the government wished to achieve? We have addressed the impact of demonetization on savings and investment in an earlier chapter, but for the purposes of this Report Card, the data[45] by which we can judge this objective is as follows:

1. Increase in Bank Deposits: Aggregate deposits during the demonetization period increased by ₹6,720 billion.[46]
2. Decrease in Fixed Deposit rates: The incremental deposits into banks were mostly current accounts (on which no interest is paid) and savings accounts (on which most banks pay 3–4 per cent). As a consequence, Indian banks were flush with low-cost funds, and lowered their domestic term deposit rates. The median-term deposit rates of scheduled commercial banks declined by 38 basis points (bps)[47] during the period November 2016–February 2017.
3. Decrease in Lending Rates: The combination of lower fixed deposit rates and the sharp increase in low-cost current and savings accounts (CASA), allowed banks to reduce their lending rates. The WALR of banks in respect of fresh rupee loans declined by 56 bps during the period November 2016–January 2017.

   The Median Reduction in both Deposit and Lending Rates – post-demonetization (up to 7 March 2017) is summarized in the table below.

Table 14: Decrease in Bank Rates Post Demonetization

(basis points)